

complaint

Mrs and Mr D complain that WR Berkley Insurance (Europe) Limited has unfairly declined a claim on their buildings insurance.

background

Mrs and Mr D made a claim for flood damage to their property. Berkley declined the claim because there was an endorsement on the insurance schedule which specifically excluded cover for damage caused by flooding.

Mrs and Mr D said that the list of perils covered in their schedule included storm, tempest and flood. Berkley said that the endorsement was there to specifically remove cover for flood but the other perils were still covered.

Our adjudicator didn't think that the complaint should be upheld. He thought that the endorsement excluding cover for flood damage was clearly set out and it was reasonable for Berkley to decline the claim. Mrs and Mr D didn't agree with his opinion.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

When Mrs and Mr D first took out this policy they signed a statement of fact which identified that the property was in a high risk area for flooding. Initially the property wasn't occupied and the cover for storm, tempest and flood peril was excluded.

When the property became occupied cover for these perils was included but an endorsement was added to the schedule excluding cover for damage by flood. This endorsement was still on the schedule when Mrs and Mr D suffered their flood damage in 2015 and made their claim.

Berkley has since altered its standard schedule so that storm and flood are now separate perils. Mrs and Mr D's schedule now shows that cover for flood isn't provided.

I recognise that the standard part of the insurance schedule includes cover for storm, tempest and flood. But the endorsements are a key part of any insurance policy and the endorsement in the insurance schedule clearly showed that flood damage wasn't covered by their policy. Cover for damage caused by storm or tempest would still be covered.

I don't think that Berkley has acted unfairly or unreasonably in declining Mrs and Mr D's claim for flood damage and I don't require it to take any further action.

my final decision

My final decision is that I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mrs and Mr D to accept or reject my decision before 28 October 2016.

John Thornton
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